

Warsaw, December 30, 2022

Decision

DKE.561.18.2022

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (consolidated text: Journal of Laws of 2022, item 2000) in connection with Articles 7 and 60 of the Act of May 10, 2018, on the Protection of Personal Data (Journal of Laws of 2019, item 1781) and based on Articles 31, 57(1)(a) and (h), and 58(1)(a) and (e) and (2)(b) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (Official Journal of the EU L 119 of 04.05.2016, p. 1, as amended), after conducting administrative proceedings regarding the imposition of an administrative monetary penalty on N. sp. z o.o. based in W. at ul. (...), the President of the Personal Data Protection Office issues a reprimand to N. sp. z o.o. based in W. at ul. (...), for violating the provisions of Articles 31 and 58(1)(a) and (e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (Official Journal of the EU L 119 of 04.05.2016, p. 1, as amended), consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide access to information necessary for the President of the Personal Data Protection Office to carry out his tasks in the proceedings with reference number DS.523.929.2020.

Justification

Factual State

In the proceedings conducted by the President of the Personal Data Protection Office with reference number DS.523.929.2020, initiated based on the complaint of Mr. Ł. K., residing in G. at ul. (...), by letter dated May 28, 2020, the President of the Personal Data Protection Office summoned N. sp. z o.o. based in W. (hereinafter also referred to as the "Company") to provide explanations regarding the matter.

By letter dated June 8, 2020 (received on June 12, 2020), the Company responded to the summons, addressing the questions contained in the letter from the President of the Personal Data Protection Office.

By letter dated February 12, 2021, the President of the Personal Data Protection Office summoned the Company to supplement its explanations, specifically regarding the processing of the Complainant's data in the Economic Information Bureau (BIG) system. The letter was delivered to the Company's legal representative on February 16, 2021. The Company did not respond to this summons.

By letter dated May 21, 2021, the President of the Personal Data Protection Office again summoned the Company to supplement its explanations regarding the matter. The letter was delivered to the Company's legal representative on May 26, 2021.

In response to the summons to supplement the explanations (indicated in points 4 and 5), two letters were submitted to the authority: the first letter, dated June 2, 2021, contained explanations relevant to the case but was not signed. It only included a copy of the signature of the Company's legal representative (so-called facsimile). The second letter, dated June 14, 2021, contained attachments to the first letter.

Due to the lack of a signature on the letter dated June 2, 2021, i.e., the absence of a fundamental element of the document specified in Article 63 § 3 of the Code of Administrative Procedure, this document could not be accepted by the authority as a document originating from the Company, and the explanations contained therein could not serve as the basis for factual findings in the matter.

In light of this deficiency, the President of the Personal Data Protection Office, by letter dated October 27, 2021, summoned the Company to provide explanations regarding the matter, including to remedy

the formal deficiency in the form of a signature on the letter dated June 2, 2021. The content of the summons included a warning that a lack of a comprehensive response could result in the imposition of an administrative monetary penalty on the Company – in accordance with Article 83(4)(a) or Article 83(5)(e) of Regulation 2016/679. The summons was delivered to the Company's legal representative on November 9, 2021. The Company did not respond to this summons.

By letter dated January 4, 2022, the President of the Personal Data Protection Office again summoned the Company to supplement its explanations regarding the matter, including to remedy the formal deficiencies in the form of a signature on the letter dated June 2, 2021. The content of the summons again included a warning that a lack of a comprehensive response could result in the imposition of an administrative monetary penalty on the Company – in accordance with Article 83(4)(a) or Article 83(5)(e) of Regulation 2016/679. The summons was delivered to the Company's legal representative on January 10, 2022. The Company also did not respond to this summons.

In view of the above, by letter dated June 6, 2022, delivered on June 8, 2022, the President of the Personal Data Protection Office initiated these administrative proceedings regarding the imposition of an administrative monetary penalty for violating Articles 31 and 58(1)(a) and (e) of the GDPR, consisting of a lack of cooperation with the President of the Personal Data Protection Office and the Company's failure to fulfill its obligation to provide the President of the Personal Data Protection Office with the information necessary to carry out his tasks. By this letter, the authority also summoned the Company to present the financial report for the year 2021 or – in the absence of such a report – a statement regarding the amount of turnover and the financial result achieved by the Company in 2021 – for the purpose of determining the basis for the assessment of the administrative monetary penalty. monetary penalty in this matter. Additionally, the letter contains a notice that if the Company provides written comprehensive explanations within 7 days from the date of delivery of the information about the initiation of the proceedings under reference DS.523.929.2020 and justifies the earlier lack of response to the requests, this circumstance may have a mitigating effect on the amount of the administrative monetary penalty imposed in this proceeding or may lead to the waiver of its imposition.

On June 20, 2022, a letter from the Company's attorney, appointed in the proceedings under reference DS.523.929.2020, was received by the authority, in which it was explained, among other things, that the lack of response to the correspondence directed by the authority to the Company was unintentional. The attorney was unable to provide work or any legal services, including for the Company, from November 3, 2021, due to a deterioration in health, which resulted in hospitalization, where he remained until December 19, 2021, and subsequently was on medical leave until January 28, 2022. Due to being in isolation and the inability to leave the hospital ward, as well as a lack of contact with anyone due to health reasons, there was no possibility for consultation, discussion, or instruction regarding the correspondence directed by the authority.

The letter also stated that the attorney's letter from June 2, 2021, was mistakenly not signed; however, the contents therein correspond to the actual state of affairs.

In a letter dated September 19, 2022 (received on September 30, 2022), the Company responded to the earlier requests in the proceedings under reference DS.523.929.2020, thereby resuming cooperation with the President of the Personal Data Protection Office (UODO). After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office noted the following.

Legal Justification

According to Article 57(1)(a) of the GDPR, the President of the UODO – as the supervisory authority within the meaning of Article 51 of the GDPR – monitors and enforces the application of this regulation within its territory. Within the scope of its competencies, the President of the UODO considers, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant of the progress and outcomes of these proceedings within a reasonable time (Article 57(1)(f)).

To enable the realization of such defined tasks, the President of the UODO has a number of specific powers outlined in Article 58(1) of the GDPR regarding the proceedings conducted, including the power to order the controller and the processor to provide all information necessary for the performance of its tasks (Article 58(1)(a)) and the power to obtain from the controller and the processor access to all personal data and all information necessary for the performance of its tasks (Article 58(1)(e)). It should also be noted that the controller and the processor are obliged to cooperate with the supervisory authority in the performance of its tasks, as stipulated in Article 31 of the GDPR.

A violation of the provisions of Articles 31 and 58(1)(a) and (e) of the GDPR, as mentioned above, consisting of the failure of the controller or processor to provide access to data and information, is subject – in accordance with Article 83(5)(e) in fine of the GDPR – to an administrative monetary penalty of up to EUR 20,000,000, and in the case of an enterprise – up to 4% of its total worldwide annual turnover from the previous financial year, with the higher amount applying.

The President of the UODO has a number of specific corrective powers outlined in Article 58(2), including the issuance of warnings to the controller or processor in the event of violations of the GDPR by processing operations. The President of the UODO, acting under Article 58(2)(b) of the GDPR, may consider it justified to issue a warning regarding the identified violation of the provisions of Articles 31 and 58(1)(a) and (e) of the GDPR. According to Recital 148 of the GDPR, to make the enforcement of the provisions of the regulation more effective, sanctions, including administrative monetary penalties, should be imposed for violations, in addition to or instead of appropriate measures imposed under this regulation by the supervisory authority. If the violation is minor, the monetary penalty may be replaced by a warning. However, due attention should be paid to the nature, gravity, and duration of the violation, whether the violation was intentional, the actions taken to minimize the damage, the degree of responsibility or any relevant previous violations, the manner in which the supervisory authority became aware of the violation, compliance with measures imposed on the controller or processor, adherence to codes of conduct, and any other aggravating or mitigating factors.

Relating the above-mentioned provisions of the GDPR to the established facts in this case, it should be stated that the Company, as the controller of personal data, being a party to the proceedings under reference DS.523.929.2020, failed to respond to requests for explanations, thereby violating Article 31 of the GDPR by not cooperating with the President of the UODO in the performance of his tasks, as well as Article 58(1)(a) and (e) of the GDPR by failing to provide the President of the UODO with access to information necessary for the performance of his tasks.

However, the violation established in this case is of a complex nature. Initially, the Company cooperated with the President of the UODO by providing explanations in response to the first request it received in the proceedings DS.523.929.2020 (point 2 above). The subsequent request from the President of the UODO for additional explanations went unanswered (point 3 above). Only the repetition of the request (point 4 above) received a response.

Companies, although this response contained qualified formal defects that prevented its consideration in the proceedings (points 5-6 above). The President of the UODO indicated to the Company the possibility of validating a document that did not contain a signature (points 7 and 8 above); however, the Company did not respond to two subsequent requests. Only the initiation of these proceedings under reference number DKE.561.18.2022 regarding the imposition of an administrative monetary penalty on the Company prompted a reaction from the Company to the requests of the President of the UODO.

In the opinion of the President of the UODO, the reasons for the lack of response to earlier requests, related to the health situation of the Company's legal representative, indicated in the letter dated June 20, 2022, are credible. The representative was unable to provide work or any legal services from November 3, 2021, to January 28, 2022 (point 10 above). However, the party did not explain the reason for the lack of contact with the President of the UODO after the representative returned to work, i.e., after January 28, 2022—considering that the requests from the President of the UODO were received at the representative's office. During the proceedings, the party also did not indicate the reasons for the further delay in submitting explanations in case DS.523.929.2020, which were

submitted to the President of the UODO only on September 30, 2022.

In the factual state in question, apart from the lack of response to requests for explanations, which was supplemented by the Company as a result of the initiation of these proceedings, no other circumstances indicating a lack of willingness to cooperate with the President of the UODO were found. The nature of the case does not suggest that delaying cooperation with the President of the UODO would be beneficial for the Company. The submission by the Company of detailed explanations in case DS.523.929.2020 (point 11 above), despite the delay, allowed the President of the UODO to continue the proceedings.

In connection with the above, acting on the basis of Article 58(2)(b) of the GDPR, according to which every supervisory authority has the right, in the context of conducted proceedings, to issue a reprimand to the controller or processor in the event of a violation of the provisions of this regulation by processing operations, the President of the UODO deems it justified to issue a reprimand to N. sp. z o.o. based in W. regarding the identified violation of the provisions of Article 31 and Article 58(1)(a) and (e) of the GDPR.

The admissibility of replacing a monetary penalty with a reprimand is also justified by Recital 148 of the GDPR, which states that sanctions, including administrative monetary penalties, should be imposed "to make the enforcement of the provisions of this regulation more effective." The President of the UODO concluded that in this case, in light of the criteria specified in Article 83(2) of the GDPR, it would be sufficient to issue a reprimand.

However, it should be noted that in the event of a similar occurrence in the future, any reprimand issued by the President of the UODO against the Company will be taken into account when assessing the grounds for the potential imposition of an administrative penalty, in accordance with the principles specified in Article 83(2) of the GDPR.

In this factual and legal state, the President of the UODO decided as stated in the operative part of this decision. The decision is final. The party has the right to appeal to the Provincial Administrative Court in Warsaw against the decision within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00 - 193 Warsaw). A court fee of 200 PLN must be paid for the appeal, in accordance with Article 231 in conjunction with Article 233 of the Act of August 30, 2002 on Proceedings Before Administrative Courts (Journal of Laws of 2022, item 329, as amended). The party (natural person, legal person, other organizational unit without legal personality) has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the party's request submitted before the initiation of the proceedings or during the proceedings. The application is exempt from court fees.

Print article

Metadata

Providing entity: Department of Penalties and Enforcement

Information created by: Jan Nowak

2022-12-30

Information entered by: Mathias Proch

2023-10-23 09:33:27

Last modified by: Edyta Madziar

2023-10-26 11:18:43